U.S. Sales Tax and Use Tax

Draft notes

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Abstract

Institutional notes on U.S. sales and use taxes: physical versus economic nexus after *Wayfair*, who remits, the high-value misconception, refunds on returns, and the mapping to seller versus buyer remittance in models of taxation with product returns.

1 U.S. Sales Tax and Use Tax

There is no federal sales or use tax. Both are state and local consumption taxes levied at the same statutory rate within a location. They differ by who remits the money, not by the rate or by the price of the good.

1.1 Physical Presence versus Economic Presence

Before 2018, remote sellers generally collected tax only if they had a physical presence—an office, warehouse, or similar nexus—in the destination state.[1] Most online platform sales were therefore untaxed at checkout. Buyers were legally required to self-report the same amount as use tax, but household compliance was low.

South Dakota v. Wayfair (2018) replaced physical presence with economic presence as a sufficient basis for collection.[2] States then passed marketplace-facilitator laws that require the platform (Amazon, eBay, Etsy), rather than the individual third-party seller, to calculate, collect, and remit tax at checkout. For the bulk of U.S. e-commerce, remittance has therefore moved onto the seller path.

1.2 Sales Tax versus Use Tax

A sales tax is charged by a retailer (or marketplace facilitator) registered in the buyer's state. The store adds the tax to the bill at checkout and sends it to the government.

A use tax is the backstop. If the buyer purchases from an out-of-state seller who charges no tax, the buyer must track the purchase and remit the same rate directly to the home state. The two instruments are the same levy. The difference is the remittance channel.

Rates are not trivial. Population-weighted average combined state and local rates are about 7.53 percent.[3] Among taxing states, combined averages are highest in Louisiana, Tennessee, Washington, and Arkansas. Alaska, Delaware, Montana, New Hampshire, and Oregon have no statewide sales or use tax.

[1] *Quill Corp. v. North Dakota*, 504 U.S. 298 (1992).

[2] *South Dakota v. Wayfair, Inc.*, 585 U.S. 162 (2018).

[3] Tax Foundation, "State and Local Sales Tax Rates, Midyear 2026," `https://taxfoundation.org/data/all/state/2026-sales-tax-rates-midyear/`.

Remitted dollars do not split evenly between the two channels. State retail sales taxes raised \$444.5 billion in FY 2022, about 31 percent of state tax collections, in the Census Bureau's broad sales category rather than a sales-versus-use split.[4] Mikesell and Ross (2019) compiled use tax from the 24 states that report it separately.[5] Across that FY 2017 panel, use tax averaged 8.19 percent of sales-plus-use (median 8.22 percent). Seller collection is automatic. Buyer self-assessment is small except where the state can attach a registration event.

1.3 Not a High-Value Tax

Liability does not depend on the price of the item. A \$5 book and a \$50,000 car can each trigger sales tax or use tax at the same local rate. The association with expensive goods is an enforcement pattern, not a statutory threshold. States track titled property—vehicles, boats, aircraft—through the DMV or similar registries, so unpaid use tax is often collected at registration or on an annual filing even though the same tax applies to ordinary remote purchases that are never observed.

1.4 Returns and Refund Delay

When the buyer returns an item, the tax paid on that unit is supposed to be unwound, but the path depends on whom the buyer paid.

If sales tax was collected at checkout, the store refunds the tax-inclusive price. The delay is ordinary payment processing, typically a few business days rather than a statutory waiting period.

If use tax was already remitted to the state—for example at the DMV or on a tax return—the store cannot refund it. The buyer must file a claim or an amended return with the tax authority. Processing is a government workflow and often takes weeks or months. That delay, and the possibility of incomplete recovery, is the institution behind treating reclaim of τ on a returned unit as frictional.

1.5 Why This Matters for Models with Returns

Sales tax is seller remittance. The retailer collects τ at checkout and, on a return, refunds the tax-inclusive list price p. Use tax is buyer remittance when the seller did not collect. The seller then refunds only the pre-tax amount $p - \tau$, and reclaim of the tax is a claim on the government rather than on the store. Marketplace-facilitator laws push remote sales onto the seller path, so use tax is the residual channel. In dollars it is small relative to seller collection. The remittance split is the same object as seller versus buyer tax regimes in welfare notes with product returns. Those notes take the extreme of zero reclaim from the government on a returned unit. This note records the institution. It does not re-derive pass-through or the effective margin.

References

[1] *Quill Corp. v. North Dakota*, 504 U.S. 298 (1992).

[2] *South Dakota v. Wayfair, Inc.*, 585 U.S. 162 (2018).

[4] Tax Foundation, "Sales Tax Revenue by State," `https://taxfoundation.org/data/all/state/sales-tax-revenue-reliance-breadth/`.

[5] John L. Mikesell and Justin M. Ross, "After Wayfair: What Are State Use Taxes Worth?" National Tax Association, 2019, Table 2, `https://ntanet.org/wp-content/uploads/2019/05/AFTER-WAYFAIR-WHAT-ARE-STATE-USE-TAXES-WORTH-PAPER.pdf`.

[3] Tax Foundation, "State and Local Sales Tax Rates, Midyear 2026." https://taxfoundation.org/data/all/state/2026-sales-tax-rates-midyear/.

[4] Tax Foundation, "Sales Tax Revenue by State." https://taxfoundation.org/data/all/state/sales-tax-revenue-reliance-breadth/.

[5] John L. Mikesell and Justin M. Ross, "After Wayfair: What Are State Use Taxes Worth?" National Tax Association, 2019. https://ntanet.org/wp-content/uploads/2019/05/AFTER-WAYFAIR-WHAT-ARE-STATE-USE-TAXES-WORTH-PAPER.pdf.